EnCap Investments L.P.

Fund XII
Investments Summary

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Sam Sam
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Fund XII Summary

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Overview

- $4.0 billion fund target
- ~$2.1 billion closed to date
- First 2 investments are marked above cost as of 9/30/2023[1]

Fund XII Commitments

Company	Formation Date	Commitment ($MM)	Invested ($MM)	Strategy	Repeat Team	Notes
Double Eagle	Jun-23	$350	$274	Permian - Midland *Lease & Develop*		Premier Permian management team with $10 Billion in asset sales from previous Double Eagle entities. Currently >55,000 net acres in the Midland Basin and running a 5-rig program
Grayson Mill Energy III	Jun-23	$400	$207	Bakken *Property Acquisition*	✓	Same Bakken management team that oversees successful Grayson Mill II (full return of equity investment within 14 months). Purchased current asset at ~2x cash flow and expect distributions in 2H 2024
Ridge Runner Resources II	Aug-23	$146	$24	Permian - Delaware *Lease & Develop*		Highly regarded management team with extensive background and successful operations in the Delaware Basin
BlackSwan Oil & Gas II	Oct-23	$200	$18	Evaluating Opportunities *Property Acquisition*	✓	Repeat partnership with same Black Swan team from Northern Midland Basin sale in April 2023 (~$500 MM invested -> $1.7 Bn Value)
Pegasus Resources III	Jan-24	$195	–	*Oil & Gas Minerals / Royalties*	✓	New Oil & Gas mineral entity led by same management team from Pegasus II and EnCap Minerals (Oversee >125,000 NRA in the Permian)
Paloma Resources VII	Jan-24	$190	–	Permian - Delaware *Evaluating Opportunities*	✓	8th partnership over >25 years with Paloma team that has a proven track record across multiple basins, strategies and varying market conditions
Novo II	Q1-24	$285	–	Permian - Delaware *Evaluating Opportunities*	✓	Best-in-class Delaware operator that led to success of Novo I (full return of equity investment from cash flow distributions prior to successful asset sale)
Total		**$1,766**	**$524**			

1. See EnCap Fund XII Pitchbook for additional details.

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Fund XII Initial Investments

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- Fund XII's two attractive initial commitments with significant investments to date and unrealized value creation
- Capital is actively being deployed to both Double Eagle IV and Grayson Mill III and additional Fund XII opportunities

Initial Fund XII Investments

DOUBLE EAGLE

$350 MM Commitment
$274 MM Invested
$298 MM Value(1)

- Premier Permian Basin team with proven track record
  - ~$10 Billion of asset sales in previous Double Eagle entities
- >55,000 top tier Midland Basin acres assembled to date
  - Position assembled through over 220 acquisitions and trades using strong industry relationships
- 5-rig development program underway with 2023 year-end production forecasted >25 Mboe/d
- Significant number of high-quality undeveloped locations in drill ready units

GRAYSON MILL III
ENERGY

$400 MM Commitment
$207 MM Invested
$273 MM Value(1)

- Same Bakken management team that oversaw success of Grayson Mill II
- $825 Million acquisition purchased at less than 2x cash flow
- 44,000 net acres producing >30 Mboe/d
- Highly economic development and refrac locations creates meaningful upside potential
  - Existing production base allows for all development activity to be funded with free-cash-flow
- Significant cash flow profile allowing for distribution program beginning early 2024

1. Based on 9/30/2023 quarterly valuations.

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Appendix A – Important Performance Disclosure Information

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Important Performance Disclosure Information

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Fund XII Target Returns

Target gross IRR was calculated using the target gross ROI of 2.0x and modeling timing of cash flows based on historical experience.

Target net ROI and target net IRR were calculated using target gross ROI and target gross IRR, reduced for management fees, carried interest, and fund expenses.

- Management fees were calculated assuming each limited partner opted to pay 2% of its net invested capital during the commitment period and 1.5% of its net invested capital after the commitment period.
- No assumption was made regarding the timing of the limited partners' subscription and therefore whether the limited partners would receive the management fee break associated with subscribing at or within 60 days of the initial closing.

Target returns do not take into account the impact of market and economic risks. Target returns are subject to risks and uncertainties that may change at any time, and, therefore, actual results may differ materially from those targeted. In no circumstances should the target returns be regarded as a reflection of any historical results or a representation, warranty, or prediction that the Fund XII will achieve or is likely to achieve any particular result or that investors will be able to avoid losses, including total losses of their investment. While EnCap believes that its assumptions are reasonable, it is very difficult to predict the impact of known factors and anticipate all factors that could affect actual results.

Realized and Unrealized Proceeds

Realized proceeds represent the sum of gross proceeds to a fund generated from dispositions and distributions of cash, dividends, and interest.

Information regarding unrealized proceeds is estimated, unaudited, and subject to change. The values of unrealized investments are estimated as of period end, inherently uncertain, and subject to change. EnCap's evaluation of an investment is based, in part, on EnCap's internal analysis and evaluation of the investment and on numerous investment-specific assumptions that may not be consistent with future market conditions and that may significantly and negatively affect actual investment results. Consequently, the ultimate realized returns on these unrealized investments may vary materially and negatively from the amounts indicated in the Presentation.

Valuation of the EnCap Upstream Funds

Unrealized investments are reported based on valuations in accordance with ASC 820 requirements. Investments held during the initial investment period are valued at cost (which is considered market value) until such time as there is a measurable change in fair market value. After the initial investment period, in accordance with industry standards for valuing oil and gas properties, EnCap values oil and gas property interests using a risk-adjusted discounted cash flow model. This methodology aggregates all future cash flows attributable to EnCap's ownership in the property or company to be generated from the production of proved oil and gas reserves, as estimated by an independent, third-party engineering firm in a Reserve Report (as defined below), and discounts them using a weighted average cost of capital (typically, 10%) to yield a present value, assuming unescalated oil and gas prices based on the period end NYMEX quoted strip prices. Prior to discounting the future cash flows, PDNP (as defined below) cash flows are generally risk-adjusted by 20%, and PUD (as defined below) cash flows are generally risk-adjusted by 40%; PDP (as defined below) cash flows are generally unrisked. Oil and gas reserves may be further adjusted to values supported by recent public or private transactions of similar oil and gas properties. Unproved acreage and other assets and liabilities are valued at recent public or private transactions of similar assets. Mineral interests are valued using combination of precedent transactions, discounted cash flows and a cash flow multiple approach, taking into consideration market and asset specific factors including life cycle or maturity of the asset, projected growth profile, precedent transactions, and comparable public market trading multiples. Publicly quoted securities are valued based on the quoted period-end closing price. Debt or equity securities that are freely tradable on a recognized investment exchange (or convertible thereto) are valued at the last reported sales price for the security as of the valuation date. Preferred equity investments are generally valued using the "if converted" method. However, if the underlying security is trading below the applicable conversion price, the valuation is held at such conversion price.

Important Performance Disclosure Information

As used above:

Proved Developed Non-Producing Reserves or "**PDNP**" means proved developed reserves that can be expected to be recovered from zones behind casing in existing wells, or from zones that are shut-in for market conditions, pipeline connections or mechanical reasons and are capable of production, but the timing is uncertain.

Proved Developed Producing Reserves or "**PDP**" means proved developed reserves that are expected to be recovered from completion intervals currently open in existing wells and able to produce to market. They are reserves that can be recovered through wells with existing equipment and operating methods. Additional oil and natural gas to be obtained through the application of fluid injection or other improved recovery techniques for supplementing the forces and mechanisms of primary recovery will be included as "proved developed reserves" only after the improved recovery project is in operation.

Proved Undeveloped Reserves or "**PUD**s" means reserves that are expected to be recovered from new wells on undrilled acreage, or from existing wells where a relatively major expenditure is required for recompletion. Reserves on undrilled acreage shall be limited to those drilling units offsetting productive units that are reasonably certain of production when drilled. Proved reserves for other undrilled units can be claimed only where it can be demonstrated with certainty that there is continuity of production from the existing productive formation. Under no circumstances should estimates for proved undeveloped reserves be attributable to any acreage for which an application of fluid injection or other improved recovery technique is contemplated, unless such techniques have proved effective by actual tests in the area and in the same reservoir.

"**Reserve Report**": Reservoir engineers develop a Reserve Report for each existing well, whether producing or shut-in, and for each proved undeveloped well location. The reserve report takes into account: (i) current rate of production (or estimated initial rate of production of a proved undeveloped location); (ii) the rate at which production, assuming no further reserve additions, is expected to decline; (iii) future production costs unique to each well; (iv) development costs associated with the proved undeveloped reserves; and (v) any production taxes that must be paid.

Explanation of Historical Returns – Cumulative Fund Level Returns

Gross ROI and gross IRR were calculated using capital invested, realized proceeds, and unrealized value from any parallel funds and co-invest vehicles raised concurrently with such fund. Gross IRRs are calculated on the basis of the actual timing of investment inflows and outflows, aggregated monthly for all parallel funds and co-invest vehicles raised concurrently with the respective institutional fundraise, if applicable. Gross IRRs are based on cash flows before deductions for management fees, carry, and fund expenses. Gross ROIs are calculated as total realized proceeds and unrealized values (if applicable) before deductions for management fees, carry, and fund expenses, divided by the total capital invested. Total cumulative gross returns are calculated using a weighted average of capital invested.

Net ROI and net IRR were calculated using gross ROI and gross IRR, reduced for management fees, carry, and fund expenses, excluding the effects of tax withholding and structuring. Net IRR and Net ROI reflect returns of the main fund. If a limited partner elected into a parallel or feeder fund vehicle, the net returns are lower than those listed above. Total cumulative net returns are calculated using a weighted average of capital invested.

Important Performance Disclosure Information

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Explanation of Historical Returns – Realized vs. Unrealized Returns by Fund

Gross ROI and gross IRR were calculated for realized and unrealized investments based on whether the cash flows were attributable to investments categorized as realized or unrealized.

Management fees, carry, and fund expenses are incurred at the fund level and are not specifically attributable to specific investments or, therefore, to the subtotals for realized and unrealized investments. As a result, net ROI was determined by allocating management fees, carry, and fund expenses to realized and unrealized categories pro rata based on invested capital. Net IRR for realized and unrealized investments was calculated using the cash flows allocated for net ROI and using timing based on EnCap's historical pace of capital calls for expenses and fees. Carry, which is assessed using a European waterfall model, was treated as a reduction of the unrealized value for unrealized investments and as paid on the period-end for realized investments.

Additional Information

Past performance is not indicative of future results. There can be no assurances that the fund will achieve its objective or avoid losses. Market conditions and legal and contractual restrictions may limit the liquidity of investments. Accordingly, actual realized return on investment may differ materially from the values indicated herein.